A TFSA and a Margin Account, Linked: the Rules

TFSA room, using your TFSA as collateral, margin interest, capital gains and the traps between the two accounts, in plain English · 2026

A TFSA and a margin account work very differently. Everything inside the TFSA is tax-free; everything in the margin account is taxable, and the interest on the loan can be deducted. Link them, by pledging your TFSA as collateral or by moving money and shares between them, and a few rules decide whether it works for you or costs you. Each brokerage only sees its own accounts, so nobody warns you. These are the rules that matter, and how the tracker handles each one.

1. YOUR TFSA ROOM

Rule	What it means	In the tracker
One room per person	All your TFSAs at every brokerage share ONE contribution room. Each brokerage only sees its own.	Settings B24; TFSA room block.
Annual limit	$7,000 for 2026. Unused room carries forward. Someone 18+ in 2009 who never contributed has $109,000 in 2026.	Settings B23.
Withdrawals come back January 1	Money you take out is added back to your room on January 1 of the next year, never the same year.	"Room on Jan 1 next year".
Deadline: December 31	No 60-day grace period. A January deposit uses the new year's room.	—
Over-contribution tax	1% per month on the highest excess, until it is withdrawn (Form RC243).	Red message.
Day trading	Frequent trading inside a TFSA can be taxed as business income.	Rules tab.

Example. Your room on January 1, 2026 is $20,000. You deposit $7,000 into your Wealthsimple TFSA and $6,000 into your Questrade TFSA. Room left = $20,000 – $13,000 = $7,000, for both together. You withdraw $500 in September: your room does not go up this year, but $500 comes back on January 1, 2027.

2. USING YOUR TFSA AS COLLATERAL

Rule	What it means	In the tracker
It is allowed	Income Tax Act s. 146.2(4) lets a TFSA be used as security for a loan. Using an RRSP that way makes it taxable.	Settings D13:D20.
Brokerage policy decides	Some brokerages count part of your TFSA value towards your margin buying power. The rate, and whether they allow it at all, is their choice: ask them.	Collateral rate per brokerage.
Extra borrowing power	TFSA value at that brokerage × its collateral rate.	Margin & Collateral, column J.
A margin call can reach your TFSA	If your margin account falls short, the brokerage can sell pledged TFSA holdings. The room used by that money only comes back next January 1.	Status column, warnings.
Room is not affected	Pledging is not a withdrawal and does not use or free up contribution room.	—

Example. Your Wealthsimple TFSA is worth $7,500 and its collateral rate is 70%: your TFSA adds $5,250 of borrowing power there. With a $4,600 margin loan, you are using 88% of it. A 20% market drop would cut that power to $4,200, below your loan, and a margin call could force sales in either account.

3. MARGIN INTEREST (LINE 22100)

Rule	What it means	In the tracker
Deductible	Interest on money borrowed to earn investment income in a taxable account (Income Tax Act 20(1)(c), Income Tax Folio S3-F6-C1).	Tax Summary, Line 22100.
No cap	Not limited to your investment income. Excess interest reduces your other income.	—
NOT deductible: borrowing for your TFSA	Interest on money borrowed to contribute to a TFSA, RRSP, FHSA or RESP, or for personal spending.	Settings B28.
Break-even yield	A full year of interest at today's loan ÷ the value of your margin holdings. Your holdings must earn at least this much.	Margin & Collateral.
After-tax cost	About interest × (1 – your marginal tax rate).	Main Dashboard.

4. TRAPS BETWEEN THE TWO ACCOUNTS

Trap	What happens	In the tracker
Superficial loss through your TFSA	Sell at a loss in your margin or cash account and buy the same shares in your TFSA within 30 days before or after: the loss is denied, and because a TFSA has no ACB for tax, it is lost for good (Income Tax Act s. 54).	Column P flag.
Moving shares into your TFSA	An in-kind transfer from a taxable account counts as a sale at market value. A gain is taxable; a loss is denied.	Log a Sell, then a TFSA Deposit and Buy.
US dividends in a TFSA	15% is withheld and lost. In a taxable account you can claim it back (Line 40500, Form T2209).	Dividend Tracker note.
TFSA losses	A loss inside a TFSA cannot be claimed against anything.	Column P note.

Example. On April 7 you sell 80 BCE shares in your RBC cash account for a $420 loss. On April 21 you buy 30 BCE in your Wealthsimple TFSA. The loss is a superficial loss: it is denied, and it is not added to anything you can use later.

5. CAPITAL GAINS AND YOUR ACB (MARGIN AND CASH)

- **50% of a net capital gain is taxable** (Schedule 3, Line 12700). The proposed 2/3 rate was cancelled in 2025.
- **Pooled ACB:** identical shares in all your taxable accounts at every brokerage share one average cost. Your TFSA is a separate pool and never mixes in.
- **Capital losses** only offset capital gains: carry a net loss back 3 years (Form T1A) or forward with no limit.
- **Collect slips** (T5, T3, T5008) from every brokerage for the taxable accounts. A TFSA has no tax slips.

6. DIVIDENDS

Holding	In your TFSA	In your Margin or Cash account
Canadian eligible dividend	Tax-free	Grossed up 38%, federal credit 15.0198% of the grossed-up amount
US-listed stock or ETF (AAPL, VOO)	15% withheld and lost	15% withheld, claimed back as a foreign tax credit
Interest	Tax-free	Taxed at 100%

7. MAKING THE LINK WORK

- **Put growth in the TFSA** (no tax on the gain at all) and US dividend payers in the taxable account.
- **Never borrow to fill your TFSA**: the interest is not deductible.
- **Keep a buffer** between your loan and your total borrowing power, TFSA included, so a market drop does not force sales.
- **Need TFSA cash in the new year?** Withdraw in December: the room comes back on January 1, a year sooner.

For educational purposes only. Not financial or tax advice. Rules summarized for 2026 from canada.ca (Tax-Free Savings Account guide RC4466; carrying charges and interest expenses, Line 22100; Income Tax Folio S3-F6-C1; capital gains; superficial losses). Ask your brokerage about its margin and collateral policy. Questions: hello@maplesheet.ca